

ETHIOPIA

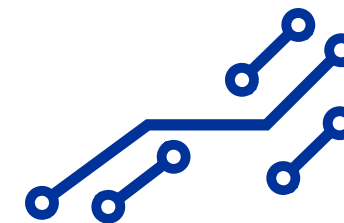
DATA CENTER MARKET BRIEFING

A strategic overview of the data center
investment opportunity in Ethiopia

A Xalam Analytics Country Report

January 2026



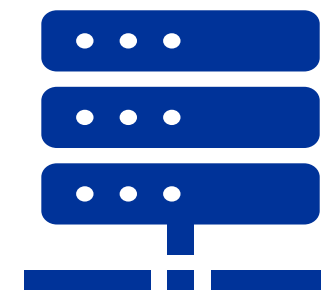


This report is part of a series of market briefs developed by Xalam Analytics at the behest of Digital Investment Facility (DIF) under the Data Governance in Africa Initiative, on the data center market opportunity in sub-Saharan Africa (“SSA”). This analysis aims to provide key insights into market demand and supply patterns for data center markets, business landscape, regulatory impact and investment returns. The research aims to provide potential investors and stakeholders with the latest information on the data center market in the SSA region.

This country review is based on our assessment of information and data as available to our research. It is further underpinned by our understanding of the marketplace along with market data and insights collected through continuous research. The numbers and estimates in this report are derived from a mix of sources, including estimates from Xalam Analytics’ economic models, data providers, regulator data and other sources as may be indicated.

This report is prepared with funds from the [Data Governance in Africa Initiative](#), a project financed by the European Union, Germany, Belgium, Estonia, Finland and France under the [Digital for Development \(D4D\) Hub](#). Its contents are the sole responsibility of Xalam Analytics and do not necessarily reflect the views of the funders.

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The Ethiopia data center investment case

A fast-growing economy, improved investment conditions, low power prices and considerable scaling-up potential make Ethiopia an attractive data center opportunity



THE OPPORTUNITY

- **Ethiopia is the largest economy in East Africa**, and the second or third largest in Sub-Saharan Africa, depending on foreign exchange fluctuations.
- **Economic growth upswing**, despite intermittent political volatility; GDP growth has consistently averaged 6-7%.
- **One of the largest broadband markets in Africa** in volume terms, with a base projected to reach ~70-100m connections over the next decade.
- **A large ICT market - \$1bn**, growing at 15-20% per year (before FX translations).
- Attractive build conditions, including ample renewable energy and **some of the world's lowest power prices**.
- Data center market projected to expand more than 3x.

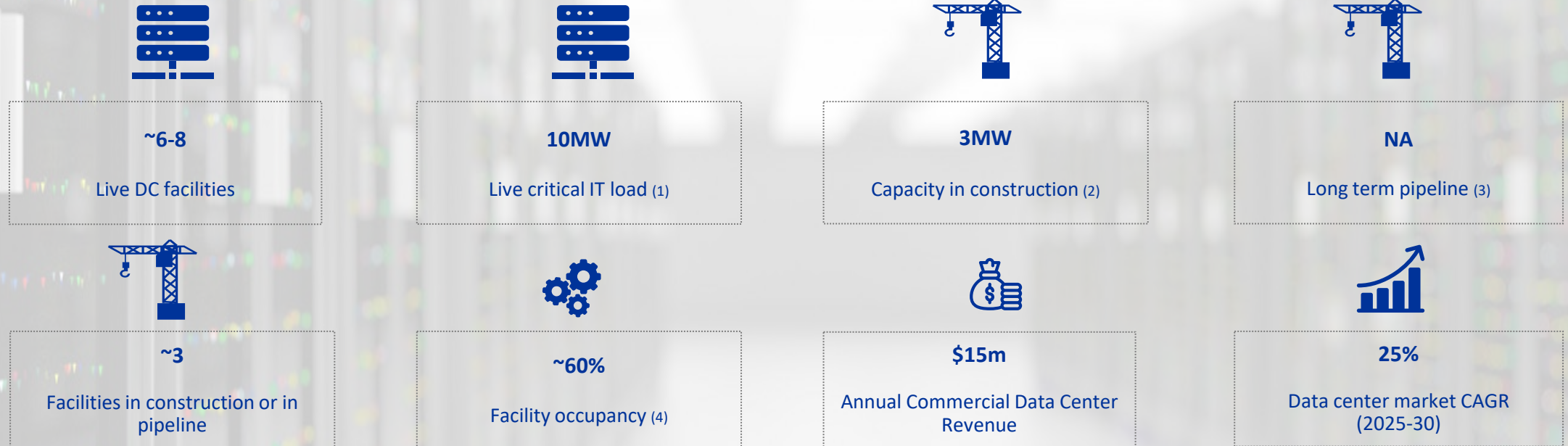


CHALLENGES & RISKS

- Intermittent economic pressures. **High-inflation environment and FX pressures**
- Ethiopia's wholesale infrastructure is highly constrained. **The country is landlocked**, with limited access to international capacity, primarily through Djibouti and Kenya.
- **Some risk of data center capacity overbuild**, given the market's large residual capacity and some uncertainty around true scale of demand.

Ethiopia data center market overview

Estimates as of 2025



(1) Capacity that is active, under lease or readily available for lease by third-party customers.

(2) IT load capacity from facilities currently in construction; construction has broken ground; ongoing civil works, installation and commissioning phases are in progress.

(3) Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land control, energy supply commitments, etc.), but no actual civil works have been undertaken. Capacity expected to be available by the end of 2030.

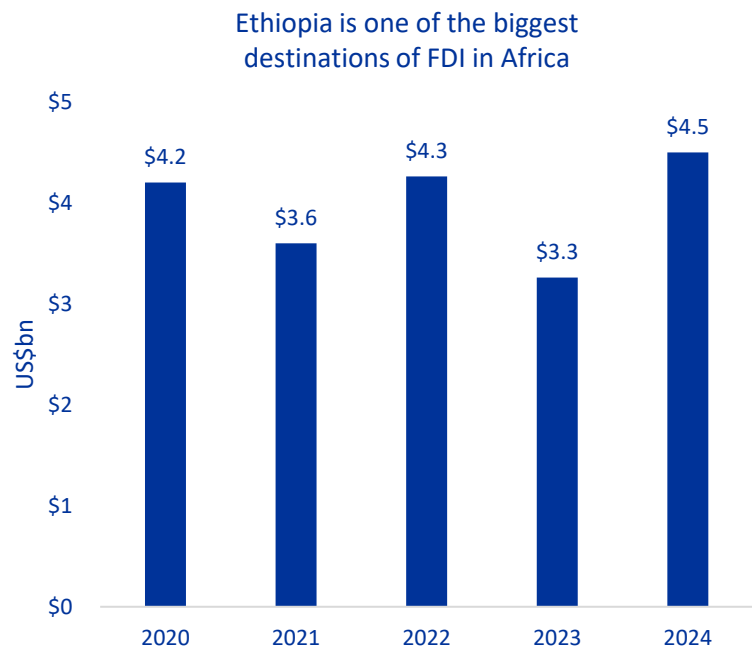
(4) Percent of available capacity that is effectively being used by third party customers.

Sources: Xalam Analytics estimates, provider data

Key drivers of demand for data centers

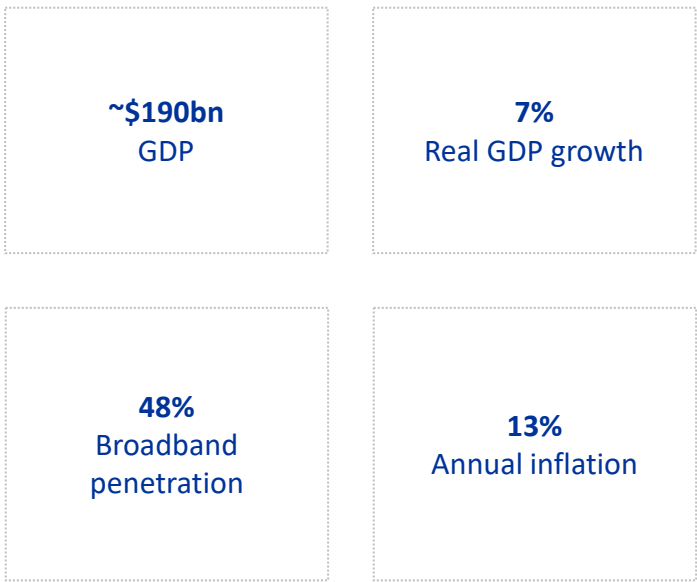
Robust economic growth and deep sectoral reforms have boosted Internet connectivity and put Ethiopia on the cusp of considerable digital transformation

A spike in investment inflows – Ethiopia FDI US\$bn



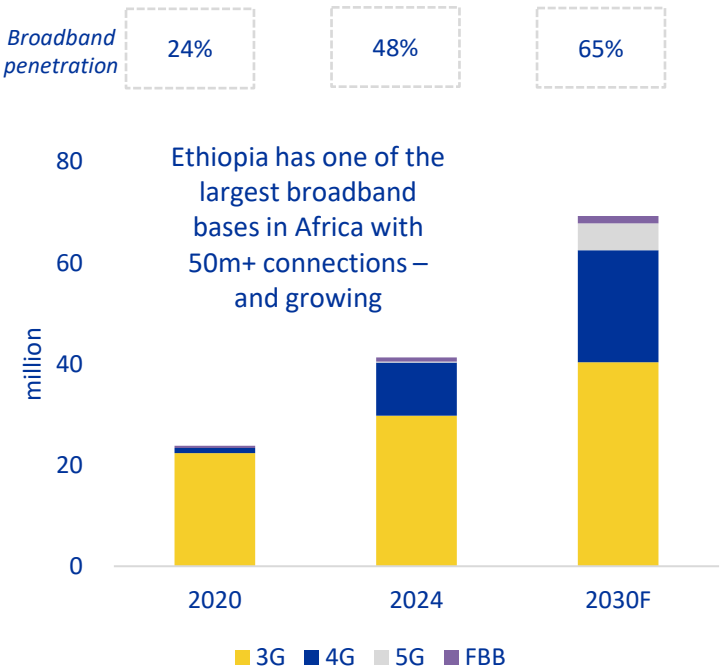
Deep economic transformation amid strong inflationary pressures

Sample Ethiopia economic indicators - 2025



A more sophisticated digital customer base

Ethiopia broadband connections by type - million



Sources: IMF, CSA; National Bank of Ethiopia; Xalam Analytics estimates; provider data.

Data center market conditions

Market conditions are increasingly favorable to investment in Ethiopia's data center sector. Low power prices and a predominantly renewable-based power mix make Ethiopia particularly compelling - but constraints remain

Data privacy, hosting & environmental regulations



- Personal Data Protection Proclamation of 2025; requires companies to host Ethiopian citizen data within the country.
- Strict regulation of cross-border data transfers.
- Relatively open approach to data center build, more focused on attracting foreign capital.
- Market partly liberalized in 2019 with the enactment of the Communications Service Proclamation.

Investment Incentives



- A battery of measures adopted to attract investors.
- Gradual liberalization of ICT, banking and wholesale trade sectors.
- A host of custom duty exemptions on importation of capital goods.

Electricity & Fiber Markets



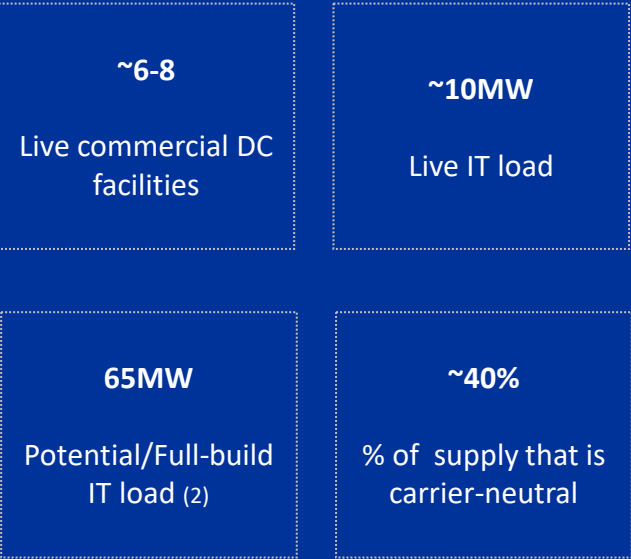
- Power is sourced from electric utility EEP.
- Government still looking to modernize the power sector and attract private investment, by allowing IPPs.
- Highly favorable power conditions; Ethiopia has a power generation capacity of around 13GW, expected to grow to around 18GW by 2030.
- ~90%+ from renewables, primarily hydro.
- Electricity prices are among the lowest in the world - \$0.03/kWh.
- Ethiopia's wholesale fiber infrastructure is highly constrained. Ethiopia is landlocked, a position that limits its access to international capacity; access through Djibouti, Somalia and Kenya.
- Diversity has improved with the arrival of Safaricom and the search for new capacity routes – but Ethio Telecom remains the dominant provider in the wholesale segment.

State of data center supply

The Ethiopian market is experiencing robust capacity growth – and more capacity will be needed

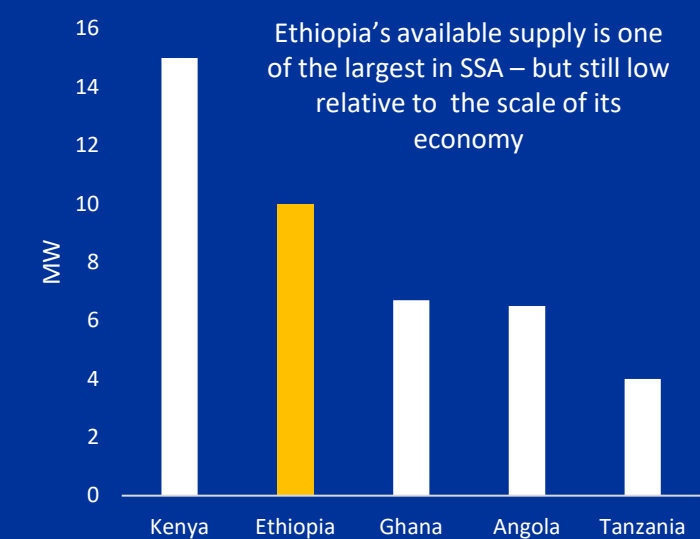
Ethiopia data center supply – 2025E

Sample market indicators (1)



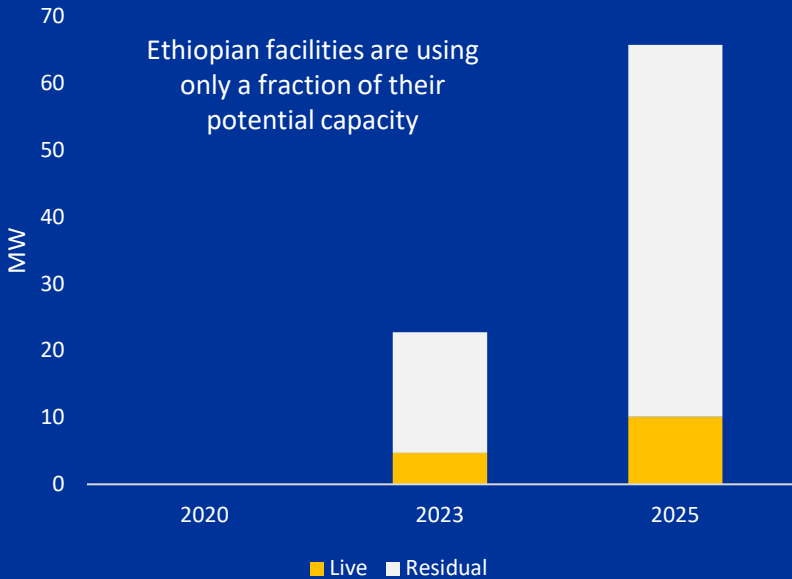
Ethiopia vs. Sub-Saharan Africa peers

Critical IT load – in MW



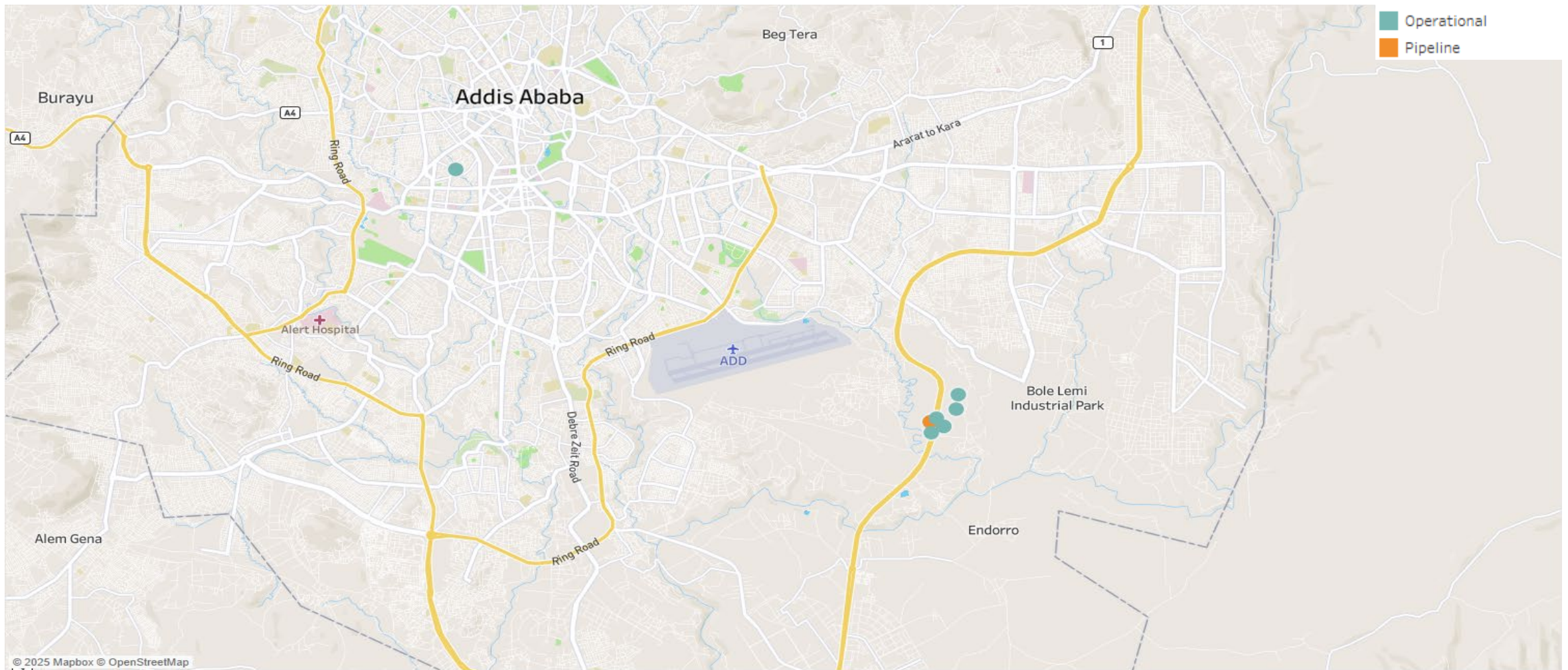
Ethiopia data center – Live vs. potential IT load

Critical IT load - in MW



(1)Numbers are rounded up (2) Potential/Full-build load is facility capacity assuming that all phases of development have been completed. Additional CapEx would be needed to make the residual capacity operational.
Sources: Xalam Analytics estimates, provider data

Ethiopia facility mapping – Addis Ababa metro



Key data center market players

The Ethiopian data center market mix comprises fiber infracos, government and MNO facilities. Carrier-neutral presence has been historically limited but is now rising fast

Telcos & Fiber Infracos



Focused on mobility and fiber - colocation is an adjacent opportunity.

The Data Center Specialists



Carrier-neutral data center colocation pure plays

Government



State agency offering a range of IT services, including colocation

MSPs and system integrators



More specialist providers expected to launch over the next 2-3 years

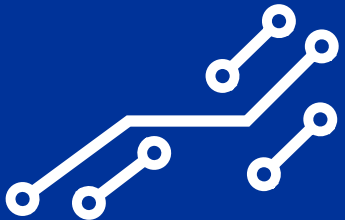
A highly competitive market



- The Ethiopian data center landscape is diverse, mixing IT firms, government and MNO facilities.
- Some hybrid providers eyeing both the bitcoin mining and data center markets.
- Slightly more than a third of Ethiopia's capacity sits in carrier-neutral facilities, a proportion that is set to grow.



GLOSSARY & KEY DEFINITIONS



Key definitions

Data center	While there are a variety of definitions for data centers, this market review is focused on commercial facilities , that is, facilities that lease colocation white space and power capacity to third-party customers on open, commercial terms, and in exchange for a fee. Captive facilities (bank data centers, telco switch sites and similar) are excluded from this assessment. Estimates focus on facilities at Tier II standard and above, unless otherwise indicated. Where applicable, these estimates include cloud hyperscaler self-built facilities.
Live critical IT load	Capacity that is active, under lease or readily available for lease.
Full build capacity	Data center facilities are typically built in phases; the full-build capacity is capacity assuming all potential phases of build have been completed and are live.
Capacity in construction	Facilities that have broken ground; ongoing civil works, installation and commissioning phases.
Pipeline	Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land acquisition, power supply commitments, etc.), but no actual civil works have been undertaken.
Carrier-neutral	Facilities not specifically affiliated to a connectivity or cloud vendor, with capacity available to all third-party customers, on equal commercial terms, without explicit or implicit constraints or favoritism. This market review uses a loose definition for carrier-neutral, referring to facilities that are purely carrier-neutral, recognized by the market or effectively managed as such.

Glossary

Below are some of the key abbreviations used in this report

AI	Artificial Intelligence
ASN	Autonomous System Number
bn	billion
CAGR	Compound Annual Growth Rate
CapEx	Capital Expenditures
CDN	Content Delivery Network
Colo	Colocation
DC	Data Center
DIF	Digital Investment Facility
EAC	East African Community
EU	European Union
F	Forecast
FBB	Fixed Broadband
FDI	Foreign Direct Investment
FX	Foreign Exchange
GDP	Gross Domestic Product
GDPR	General Data Protection Regulation
ICT	Information, Communications and Technology
ISP	Internet Service Provider
IPP	Independent Power Producer
IT	Information Technology

kW	Kilowatt
kWh	Kilowatt Hour
LLM	Large Language Models
m	million
MNC	Multinational Corporation
MNO	Mobile Network Operator
MRR	Monthly Recurring Revenue
MSP	Managed Service Provider
MW	Megawatts
NDC	National Data Center
OEM	Original Equipment Manufacturer
POP	Point of Presence
PUE	Power Usage Effectiveness
RFS	Ready For Service
SEZ	Special Economic Zone
SSA	Sub-Saharan Africa
USD	US dollar
PUE	Power Usage Effectiveness
RFS	Ready For Service
SSA	Sub-Saharan Africa
YE	Year end



Learn more:

<https://d4dhub.eu/initiatives/data-governance-in-africa>

